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MPI Corporation | Asia Pacific

Margin recovery in 3Q26; stay OW

AlphaSignals Earnings Reaction

Unchanged	Modest upside	Largely unchanged
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- 3Q26 results beat; 4Q26 revenue could grow 5-10% QoQ.
- We think GM in the low 60s (%) can be sustained in 4Q.
- CPO insertion is still on track but not finalized yet.
- There might not be a 2027 capacity expansion update until December.
- Stay OW – we cite strong AI/HPC demand, increasing pin count for the leading-edge products, and the capability to pass increasing cost on to customers

MPI reported 3Q26 gross margin of 61.7%, above our estimate of 59.8% and consensus of 59.5%: The margin beat came mostly from higher HPC demand; VPC and MEMS made up more than half of total revenue.

With the strong demand for HPC continuing, we expect 4Q26 revenue to grow 5-10% QoQ...

...with GM maintained in the low 60s (%).

Still in qualification for insertion 2: The engineering tester for insertion 3 has already been shipped to customers and is likely to go into mass production and shipments in 1H27. The company is still in qualification for insertion 2, for which the results might not be disclosed until December 2026.

We expect a clearer 2027 capacity expansion plan by year-end – after the budget planning is finalized.

Key questions for the upcoming earnings call (November 16):

1. 2027 guidance including capacity expansion plan and pricing dynamics,
2. CPO schedule and TAM,
3. How much margin accretion from self-produced PCB.

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MPI Corporation (6223.TWO, 6223 TT)

Greater China Technology Semiconductors | Taiwan

Stock Rating	**Overweight**
Industry View	**Attractive**
Price target	NT$8,000.00
Up/downside to price target (%)	79
Shr price, close (Nov 11, 2026)	NT$4,480.00
52-Week Range	NT$7,700.00-1,705.00
Sh out, dil, curr (mn)	101
Mkt cap, curr (mn)	NT$450,885
EV, curr (mn)	NT$447,369
Avg daily trading value (mn)	NT$5,286

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	32.51	64.33	150.14	319.57
Prior EPS (NT$)**	-	-	-	-
EPS (NT$)§	33.07	66.00	132.51	215.45
Revenue, net (NT$ mn)	13,371	21,126	46,004	87,997
EBITDA (NT$ mn)	4,566	7,241	17,492	37,514
ModelWare net inc (NT $ mn)	3,179	6,119	14,264	30,335
P/E	69.2	69.4	29.8	14.0
P/BV	15.5	21.9	14.3	8.8
RNOA (%)	41.9	52.4	102.6	162.2

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Exhibit 1: MPI: 3Q26 Earnings Review

P/L Comparison	3Q26								
(NT$ mn)	3Q25	2Q26	3Q26	Q/Q	Y/Y	MSe.	Diff.	Cons.	Diff.
Net sales	**3,414**	**5,233**	**5,904**	**13%**	**73%**	**5,623**	**5%**	**5,859**	**1%**
Gross profit	1,822	3,055	3,641	**19%**	**100%**	3,365	**8%**	3,486	**4%**
Operating profit	896	1,802	2,276	**26%**	**154%**	1,950	**17%**	2,052	**11%**
Pretax profit	1,053	1,906	2,377	**25%**	**126%**	1,962	**21%**	2,087	**14%**
Net profit	877	1,524	1,868	**23%**	**113%**	1,569	**19%**	1,696	**10%**
EPS (NT$)	**9.00**	**15.55**	**19.70**	**27%**	**119%**	**16.54**	**19%**	**16.73**	**18%**
Key ratios (%)									
Gross margin	53.4%	58.4%	61.7%	-1.1 ppt	0.1 ppt	59.8%	1.8 ppt	59.5%	2.2 ppt
Operating margin	26.2%	34.4%	38.6%	2.1 ppt	1.7 ppt	34.7%	3.9 ppt	35.0%	3.5 ppt
Pretax margin	30.8%	36.4%	40.3%	-2.4 ppt	13.5 ppt	34.9%	5.4 ppt	35.6%	4.6 ppt
Net profit margin	25.7%	29.1%	31.6%	-2.1 ppt	10.0 ppt	27.9%	3.7 ppt	28.9%	2.7 ppt

Source: Company Data, Visible Alpha, Morgan Stanley Research estimates

ROE (%)	34.2	42.0	71.7	99.8
EV/EBITDA	48.8	61.4	25.1	11.4
Div yld (%)	0.0	0.0	0.0	0.0
FCF yld ratio (%)**	0.5	0.8	2.2	5.5
Leverage (EOP) (%)	(24.1)	(31.5)	(39.2)	(48.1)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

Valuation Methodology and Risks

MPI Corporation (6223.TWO)

We derive our price target from a residual income model, as we believe this can best capture the long-term value. We assume a 9.78% cost of equity (risk-free rate 2.0% and risk premium 6.0%), a payout ratio of 67%, a medium-term growth rate of 16.0%, and a terminal growth rate of 4.0%. Our price target implies 50x/25x 2027e/2028e P/E. We believe its valuation will continue to climb along with growing earnings.

Risks to Upside

- Stronger-than-expected AI demand
- Stronger-than-expected market share gain from peers
- Stronger-than-expected CPO development

Risks to Downside

- Slower-than-expected AI demand
- Slower-than-expected market share gain from peers
- Slower-than-expected CPO development

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Equal-weight/Hold	1537	42%	393	42%	26%	720	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	92	10%	16%	218	13%
Total	3,684		946			1681	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

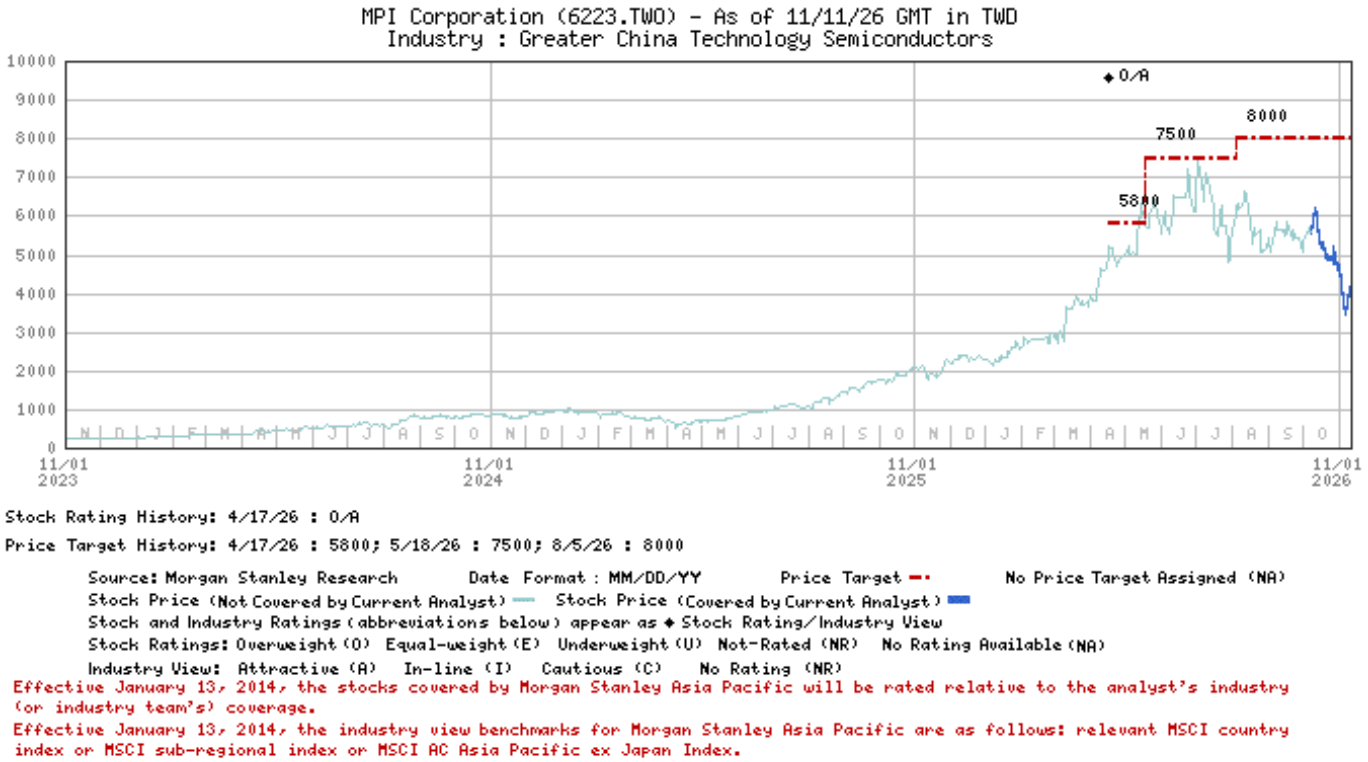
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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (11/11/2026)
Charlie Chan		
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT$104.50
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT$3,650.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT$617.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb900.00
CXMT Corp (688825.SS)	O (08/26/2026)	Rmb42.07
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT$7,885.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT$435.50
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK$75.15
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK$72.30
MediaTek (2454.TW)	O (11/28/2025)	NT$3,990.00
MetaX Integrated Circuits (688802.SS)	U (11/02/2026)	Rmb523.00
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT$394.00
Phison Electronics Corp (8299.TWO)	U (11/11/2026)	NT$1,730.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb85.48
Silergy Corp. (6415.TW)	U (05/19/2026)	NT$467.50
SMIC (0981.HK)	O (10/21/2025)	HK$49.00
TSMC (2330.TW)	O (02/07/2022)	NT$2,395.00
UMC (2303.TW)	O (05/19/2026)	NT$104.00
Vanguard International Semiconductor (5347.TWO)	U (10/30/2026)	NT$138.50
WIN Semiconductors Corp (3105.TWO)	O (10/29/2026)	NT$521.00
Daisy Dai, CFA		
ASMPT Ltd (0522.HK)	O (07/24/2025)	HK$101.90
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb49.38
Empyrean Technology Co Ltd (301269.SZ)	O (11/02/2026)	Rmb90.73
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb24.44
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb196.35

Innoscience (2577.HK)	E (10/13/2025)	HK$28.24
JCET Group Co Ltd (600584.SS)	O (09/16/2026)	Rmb54.40
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK$24.40
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb83.93
SJ Semiconductor Corp (688820.SS)	E (09/16/2026)	Rmb84.63
StarPower Semiconductor Ltd (603290.SS)	U (10/31/2026)	Rmb71.52
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb52.34
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb19.78
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb77.26
Daniel Yen, CFA		
AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT$733.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT$1,195.00
Aspeed Technology (5274.TWO)	E (11/10/2026)	NT$12,555.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT$83.30
Elan Microelectronics Corp (2458.TW)	E (11/04/2026)	NT$117.00
eMemory Technology Inc (3529.TWO)	O (08/18/2026)	NT$2,265.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb175.32
GigaDevice Semiconductor Beijing Inc (603986.SS)	E (11/11/2026)	Rmb259.62
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US$8.54
Macronix International Co Ltd (2337.TW)	E (11/11/2026)	NT$82.70
Montage Technology Co Ltd (6809.HK)	E (11/10/2026)	HK$195.50
Montage Technology Co Ltd (688008.SS)	E (11/10/2026)	Rmb162.86
Novatek (3034.TW)	U (02/04/2026)	NT$481.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT$107.00
Parade Technologies Ltd (4966.TWO)	U (10/29/2026)	NT$412.50
Powerchip Semiconductor Manufacturing Co (6770.TW)	E (11/11/2026)	NT$58.50
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT$763.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb61.28
Silicon Motion (SIMO.O)	O (05/06/2024)	US$169.01
Winbond Electronics Corp (2344.TW)	E (11/11/2026)	NT$136.50
WPG Holdings (3702.TW)	O (03/16/2026)	NT$91.70
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT$194.00
Henry Zhao		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US$48.67
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb250.00
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb55.93
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb547.91
OmniVision Integrated Circuits Group Inc (603501.SS)	E (10/29/2026)	Rmb86.77
Lucas Wang		
AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT$1,015.00
FOCI Fiber Optic Communications Inc (3363.TWO)	E (10/09/2026)	NT$410.00
GlobalWafers Co Ltd (6488.TWO)	E (11/04/2026)	NT$635.00
Hon Precision (7769.TW)	O (04/17/2026)	NT$4,335.00
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT$231.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT$4,480.00

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